32. Bimal Jalan, ***India's Economic Policy,*** Penguin Books, N. Delhi, 1992, p. 48.
33. ***Handbook of Statistics on the Economy 2002–03,*** RBI, Table 221 (cited by ***Tendulkar*** and ***Bhavani,*** 2007, op. cit., p. 74)
34. Bimal Jalan, 1992, op. cit., p. 50
35. ***The Report of Tenth Finance Commission,*** N. Delhi, 1994 (*quoted by Bimal Jalan, 1992, op. cit., p. 50).*
36. This scheme has changed now. After the implementation of the suggestions of the ***12th Finance Commission*** states are now allowed to go for market borrowings to take care of their plan expenditures once they have passed and enacted their Fiscal Responsibility Acts (FRAs) in consonance with the FRBM Act, 2003.
37. Based on the points raised by Bimal Jalan, 1992, op. cit., p. 49.
38. This factor seems getting redressal with the starting of ***outcome*** and ***performance*** budgeting 2004–05 onwards.
39. ***Economic Survey 2006–07,*** MoF, GoI, N. Delhi, p.18.
40. *Ibid.*
41. *Ibid.*
42. ***Economic Survey 2003–04,*** MoF, GoI, N. Delhi.
43. ***Economic Survey 2006–07,*** op. cit., p. 18.
44. *Ibid.*
45. *Ibid.*
46. Opposite to it, in the U.K., the government has overriding powers on the central bank and there is absence of any legal checks on money creation powers of the government. Once the UK becomes part of the European Union it will come under such a check through the Maastricht Treaty. Before the enactment of the FRBMA, 2003. India was like the U.K, however, the Constitution of India has a provision for imposing a statutory limit on the centre's borrowing powers under ***Article 292.*** But the Article is not mandatory and has not been invoked by any of the governments till date.
47. By the Congress passing the Balanced Budget Act, 1997 which promised to eliminate federal deficit spending by 2002 (see *Nicholas Henry,* ***Public Administration and Public Policy,*** Prentice-Hall, N. Delhi, 8th Ed., 2003, p. 217).
48. Argentina introduced this arrangement in the late 1990s.
49. ***Economic Survey 1994–95,*** MoF, GoI, N. Delhi.
50. IMF imposed some macro-economic conditions on the economy while India borrowed from it for its BoP correction in 1990–91. One among the conditions was cutting down the government expenditure (i.e., salaries, pensions, interest and subsidies, etc.) by 10 per cent every year.
51. George R. Terry and Stephen G. Franklin, ***Principles of Management,*** AITBS, N. Delhi, 8th Ed., 2002, pp. 9–10.
52. See Peter A. Phyrr, ***The Zero Base Approach to Government Budgeting,*** Public Administration Review, 37 (Jan./Feb., 1977), p. 7 and Thomas P. Lauth, ***Zero-Base Budgeting in Georgia State Government: Myth and Reality,*** Public Administration Review, 38 (Sept./Oct., 1978) pp. 420–30 (cited in Nicholar Henry, ***Public Administration and Public Affairs,*** Prentice-Hall, N. Delhi, 8th Ed., 2003, p. 217).